Superior Court of the State of California, County of Orange

TENTATIVE RULINGS FOR DEPARTMENT C16

HON. JUDGE CARMEN R. LUEGE

Date: July 10th, 2026
Posted: July 9th, 4:30 PM

Civil Court Reporters: The Court does not provide court reporters for law and motion hearings. Please see the Court's website for rules and procedures for court reporters obtained by the Parties.

Tentative Rulings: The Court will endeavor to post tentative rulings on the Court's website by 4:30 p.m. on Thursday. Do NOT call the Department for a tentative ruling if none is posted. **The Court will NOT entertain a request for continuance or the filing of further documents once a tentative ruling has been posted.**

Submitting on the Tentative Ruling: If ALL counsel intend to submit on the tentative ruling and do not wish oral argument, please advise the Court's clerk or courtroom attendant by calling (657) 622-5216. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party shall give Notice of Ruling and prepare an Order for the Court's signature if appropriate under CRC 3.1312. **Please do not call the Department unless ALL parties submit on the tentative ruling.**

Non-Appearances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or whether the tentative ruling shall become the final ruling.

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25-01463801</td><td>Motion to Strike Complaint

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<tr><td>53</td><td>Polselli vs. Jaguar Land Rover North America, LLC

25-01513594</td><td>1. Demurrer to Complaint
2. Motion to Strike Complaint

Defendants Jaguar Land Rover North America, LLC and Jaguar Land Rover Newport Beach’s demurrer to the Complaint is OVERRULED. Defendants’ motion to strike is DENIED.

<u>Meet and Confer</u>

As an initial matter, the Court notes Defendants did not satisfy Code of Civil Procedure sections 430.41, subdivision (a), and 435.5, subdivision (a), which require the parties to meet and confer in person, by telephone, or, as to the demurrer, by video conference. The Court notes the deficiency but reaches the merits of the demurrer and motion to strike.

<u>Demurrer</u>

Defendants Jaguar Land Rover North America, LLC (“Manufacturer”) and Jaguar Landrover Newport Beach (“Repair Facility”) (collectively, “Defendants”) demur to Plaintiff’s sixth cause of action for fraudulent inducement/concealment against Manufacturer and fifth cause of action for negligent repair against Repair Facility.

a. Fraudulent Inducement – Concealment

i. Duty to Disclose

Defendants argue the fraud claim fails because the Complaint fails to allege facts demonstrating that Manufacturer had a duty to disclose material facts to Plaintiff.

“A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff's fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment)…Circumstances (3), (4), and (5) presuppose a preexisting</td></tr>
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		relationship between the parties, such as 'between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. [Citation.] All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances.'…'Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.'" (*Rattagan v. Uber Technologies, Inc*. (2024) 17 Cal.5th 1, 40-41; see *Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 867 ["A duty to speak may arise in four ways: it may be directly imposed by statute or other prescriptive law; it may be voluntarily assumed by contractual undertaking; it may arise as an incident of a relationship between the defendant and the plaintiff; and it may arise as a result of other conduct by the defendant that makes it wrongful for him to remain silent."].) "There are 'four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. [Citation.]'" (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336, citing *Heliotis v. Schuman* (1986) 181 Cal.App.3d 646, 651.) As the Court of Appeal explained in *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276 (*Bigler-Engler*), our Supreme Court has described the relationship necessary to give rise to a duty to disclose as a "transaction" between the plaintiff and defendant. "In transactions which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff." (*Id.* at p. 311, quoting *Warner Construction Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294, footnotes omitted.) However, "[s]uch a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large." (*Bigler-Engler*, *supra*, 7 Cal.App.5th at p. 312.) This case is distinguishable from *Bigler-Engler*. The Complaint does not allege merely a relationship between Manufacturer and the public at large. Rather, the Complaint alleges that, on or about February 3, 2024, Plaintiff entered into a warranty contract with Manufacturer regarding the Subject Vehicle, a 2024 Land Rover Range Rover manufactured and/or distributed by Manufacturer. (Complaint, ¶ 7.) The Complaint further alleges that the warranty contract contained various warranties, including bumper-to-bumper, powertrain, and emission warranties. (Id., ¶ 8.) This conclusion is supported by *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828 (*Dhital*). In *Dhital*, a Song-Beverly action involving a fraudulent concealment claim, the Court of Appeal rejected the manufacturer's argument that the plaintiffs failed to allege a buyer-seller relationship because they purchased the vehicle from a dealership rather than directly from the manufacturer. (*Id.* at p. 844.) The court found the allegations sufficient at the pleading stage because the plaintiffs alleged they bought the vehicle from a Nissan dealership, Nissan backed

the vehicle with an express warranty, and Nissan's authorized dealerships were its agents for purposes of selling Nissan vehicles to consumers. (*Ibid.*)

Similarly here, Plaintiff alleges more than a relationship with the public at large. Plaintiff alleges that Manufacturer manufactured and/or distributed the Subject Vehicle, issued written warranties, and was engaged in the business of designing, manufacturing, marketing, distributing, and selling automobiles and motor vehicle components. (Complaint, ¶¶ 4, 7-8.) Plaintiff also alleges that Manufacturer's authorized dealers were its agents for vehicle repairs, that Manufacturer monitored warranty claims and repair records through its computer systems, and that Manufacturer communicated with its authorized dealers regarding malfunctions and repairs. (Id., ¶¶ 57, 64-65.) Although the Complaint does not allege the same sales-agency facts present in *Dhital*, these allegations are sufficient at the pleading stage to allege a relationship between Plaintiff and Manufacturer giving rise to a duty to disclose.

Thus, the demurrer on this ground is overruled.

ii. Specificity

Defendants also argue the fraudulent concealment claim fails because it lacks factual specificity.

"[T]he elements of an action for fraud and deceit based on a concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage." (*Boschma v. Home Loan Center, Inc.* (2011) 198 Cal.App.4th 230, 248; *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843.)

From a pleading perspective, the facts that constitute the fraud must be alleged fully, factually, and specifically. (*Wilhelm v. Pray, Price, Williams & Russell* (1986)186 Cal.App.3d 1324, 1331; see *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843-844 ["Fraud, including concealment, must be pleaded with specificity"].) The particularity requirement necessitates the pleading of facts that show how, when, where, to whom and by what means the representation was tendered, and pleading specifically the detriment proximately caused by the defendant's conduct. (*Service of Medallion, Inc. v. Clorox Co.* (1996) 44 Cal.App.4th 1807, 1818; *Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73.) "[H]owever … fraud is the only remaining cause of action in which specific pleading is required to enable the court to determine on the basis of the pleadings alone whether a foundation existed for the charge and, even in the pleading of fraud, the rule is relaxed when it is apparent from the allegations that the defendant necessarily possesses knowledge of the facts." (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 47.)

An exception to the strict pleading standard is recognized when it appears the facts lie more within defendant's knowledge than plaintiff's, i.e., less specificity is required where "defendant must necessarily possess full information concerning the facts of the controversy." (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216, superseded by statute, on other grounds, as discussed in *Sanchez v. Bear Stearns Residential Mortg. Corp.*

		(S.D.Cal. May 11, 2010, No. 09-CV-2056 JLS (CAB)) 2010 U.S.Dist.LEXIS 46043, at *18, fn. 4 [with the November 2, 2004 enactment of Proposition 64, a private person suing must have suffered damages to have standing to bring suit pursuant to section 17200 of the Business & Professions Code]; see *Miles v. Deutsche Bank Nat'l Trust Co.* (2015) 236 Cal.App.4th 394, 403-404 [omission of names of mortgage servicer employees and their authority to speak not fatal to fraud claim where defendants had more knowledge of the facts than did plaintiffs]; *Tenet Healthsystem Desert, Inc. v. Blue Cross of Calif.* (2016) 245 Cal.App.4th 821, 840 [complaint need not specify information uniquely within defendants' knowledge, such as who prepared documents in question].) Here, the Complaint alleges sufficient facts to plead fraudulent concealment at the pleading stage. The Complaint alleges Manufacturer concealed a known defect from Plaintiff, namely that the 3.0L engine and/or related components installed in the Subject Vehicle suffer from one or more defects that can result in loss of power, stalling, rough running, engine misfires, engine failure, or engine replacement. (Complaint, ¶¶ 52-53.) Plaintiff further alleges the Engine Defect causes unsafe conditions, including the engine losing power while driving, which may impair the driver's ability to control the vehicle and increase the risk of accident, property damage, personal injury, or death. (Id., ¶ 55.) The Complaint also alleges Manufacturer knew or should have known of the Engine Defect before sale through exclusive, non-public internal data, including pre-release testing data, early consumer complaints to Manufacturer's dealers, dealer repair orders, testing conducted in response to complaints, failure rates and replacement part sales data, aggregate dealer data, warranty claims, and repair records. (Complaint, ¶¶ 57, 62-65.) Plaintiff alleges Manufacturer had superior and exclusive knowledge of the Engine Defect, knew the defect was not known or reasonably discoverable by Plaintiff before purchase, and failed to disclose the defect to Plaintiff before purchase or at any point during ownership. (Id., ¶¶ 62, 68-69.) The Complaint further alleges intentional concealment. Plaintiff alleges Manufacturer and its agents actively concealed the Engine Defect and failed to disclose it to Plaintiff at the time of purchase or thereafter. (Complaint, ¶ 57.) Plaintiff also alleges Manufacturer knew about and concealed the Engine Defect and its attendant safety and drivability problems from Plaintiff at the time of sale, repair, and thereafter, and that Manufacturer either refused to acknowledge the defect or performed superficial and ineffectual repairs that merely masked its symptoms. (Id., ¶ 59.) Plaintiff further alleges Manufacturer continued to represent that vehicles equipped with the 3.0L engine were high quality, trained dealers to tout the engine's supposedly superior attributes, concealed the defect in marketing materials relied upon by Plaintiff, and authorized limited repair measures that did not resolve the underlying defect. (Id., ¶¶ 72, 75-78.) The Complaint also pleads reliance, materiality, and damages. Plaintiff alleges the Engine Defect was a material fact that a reasonable consumer would consider when deciding whether to purchase or lease a vehicle equipped with a 3.0L engine, and that Plaintiff would not have purchased the Subject Vehicle had the defect been disclosed. (Complaint, ¶¶ 60, 66.) Plaintiff alleges he relied on Manufacturer's and its agents' omissions and concealment, and suffered an ascertainable loss of money, property, and value to the Subject Vehicle. (Id., ¶ 61.)

Plaintiff's allegations are similar to those found sufficient in *Dhital*, where the plaintiffs alleged Nissan manufactured and distributed vehicles with a defective CVT transmission that posed a safety hazard, Nissan had exclusive knowledge of the defect, Nissan intentionally concealed and failed to disclose that information, the plaintiffs would not have purchased the vehicle had they known of the defect, and the plaintiffs suffered damages. (*Dhital, supra*, 84 Cal.App.5th at pp. 843-844.) The *Dhital* court held those allegations sufficient at the pleading stage and declined to require more detailed allegations about the alleged transmission defect. (*Id*. at p. 844.)

Likewise, accepting the Complaint's allegations as true and applying the relaxed specificity standard applicable where the relevant facts are largely within Manufacturer's knowledge, Plaintiff has adequately pleaded the nature of the alleged defect, Manufacturer's alleged pre-sale knowledge, concealment, materiality, reliance, and resulting damages.

Thus, the demurrer on this ground is overruled.

b. Negligent Repair

Defendants argue the negligent repair claim fails because it is barred by the economic loss rule and because the Complaint fails to allege sufficient facts demonstrating damages.

The elements of a cause of action for negligence are (1) the existence of a duty, (2) breach, (3) causation, and (4) damages. (*Pellegrini v. Weiss* (2008) 165 Cal.App.4th 515, 524.) For most claims, including claims for negligence, one need plead only ultimate facts, not evidentiary facts. (See *Ludgate Ins. Co. v. Lockheed Martin Corp.* (2000) 82 Cal.App.4th 592, 606 ["A cardinal rule of pleading is that only the ultimate facts need be alleged."].)

Plaintiff has sufficiently alleged the scope of Repair Facility's duty and breach. The Complaint alleges Plaintiff delivered the Subject Vehicle to Repair Facility for substantial repair on at least one occasion, that Repair Facility owed Plaintiff a duty to use ordinary care and skill in the storage, preparation, and repair of the Subject Vehicle in accordance with industry standards, that it breached that duty by failing to properly store, prepare, and repair the Subject Vehicle, and that its negligent breach was a proximate cause of Plaintiff's damages. (Complaint, ¶¶ 47-50.) These allegations sufficiently plead the ultimate facts for duty, breach, causation, and damages. Defendants can obtain any additional details through discovery. (See *Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal.App.4th 1125, 1135.)

Plaintiff's cause of action for negligent repair is based on Repair Facility's alleged negligent failure to perform services and not the sale or furnishing of defective products. The economic loss rule applies to claims involving the furnishing of goods, not the negligent performance of services as alleged here. (See *North American Chemical Co. v. Superior Court* (1997) 59 Cal.App.4th 764, 780-781.)

In *Sheen*, the court held that tort claims for monetary losses between contractual parties are barred by the economic loss rule when they arise from or are not independent of the parties' underlying contracts. (*Sheen v. Wells Fargo Bank, N.A*. (2022) 12 Cal.5th 905, 922, 923-925). However, the *Sheen* Court acknowledged the "recognized exception to the economic loss rule for consumers who contract for certain kinds of professional services." (*Id*. at 933.)

		Under the factors considered in *North American Chemical*, the Court does not find, at the pleading stage, that the economic loss rule bars Plaintiff's negligent repair cause of action on the face of the Complaint. Thus, the demurrer on these grounds is overruled. --- Defendants also move to strike Plaintiff's punitive damages request. The motion is denied because Plaintiff has asserted a viable cause of action for fraudulent concealment, and punitive damages are available where a defendant is guilty of fraud. (Civ. Code, § 3294, subd. (a); see *Dhital v. Nissan North America, Inc., supra,* 84 Cal.App.5th at p. 845 [reversing trial court's order granting motion to strike punitive damages allegations where the plaintiff stated a viable fraud claim]; *Nissan Motor Acceptance Cases* (2021) 63 Cal.App.5th 793, 829 [fraudulent concealment is an intentional tort that may support a punitive damages award].) While Defendants argue the Complaint fails to identify an officer, director, or managing agent who engaged in, authorized, or ratified the alleged misconduct, the Complaint alleges Manufacturer knew of the Engine Defect, its safety risks, and its inability to repair the defect, yet failed to disclose the defect and continued to authorize limited repair measures. (Complaint, ¶¶ 57, 62-65, 72-78.) At the pleading stage, these allegations are sufficient to support the punitive damages request based on fraud. Defendants shall file their Answer to the Complaint within five days of notice of this order. Plaintiff to give notice.
54	**Hernandez vs. Kopecky** **25-01482111**	**Motion to Strike Portions Of Complaint** Motion to Strike is MOOT. Case Management Conference remains on Calendar.
55	**Newnes vs. Lay** **25-01525344**	**1. Demurrer to Amended Complaint** **2. Motion to Strike Portions Of Complaint** Defendant Christopher Carr Lay demurs to the first, second, third, fourth, sixth, and seventh causes of action in the First Amended Complaint ("FAC") filed by Plaintiff Curt Newnes. Defendants Josh Chandler and Justice Solutions Group, LLC (JSG") demur to the FAC's fifth cause of action. The demurrer is SUSTAINED as to the first cause of action for identity theft; third cause of action for defamation; fourth cause of action for unfair competition; and fifth cause of action for constructive fraud. The demurrer is OVERRULED as to the second cause of action for invasion of privacy; sixth cause of action for negligence (per se); and seventh cause of action for violation of Penal Code section 496.

Should Plaintiff wish to file an amended complaint that addresses the issues in this ruling, Plaintiffs must file and serve it within 15 days of service of notice of ruling.

In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. *Blank v. Kirwan*, 39 Cal.3d 311, 318 (1985). A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1404-05.)

Defamation

The third cause of action for defamation alleges Defendants Lay, Bartels, and Genessee published to one or more third parties false statements of fact about Plaintiff. (FAC ¶ 28.) The false statements characterized Plaintiff as "unstable" in his business dealings; referred to Plaintiff as part of a "Crazy effing family"; and called Plaintiff "f***ing nuts". (FAC ¶ 27.) Moving Defendants contend these expressions rhetorical hyperbole rather than factual assertions and, thus, are non-defamatory statements of opinion.

"Unlike mere opinions, a statement that suggests or implies a false assertion of fact is actionable." (*Edward v. Ellis* (2021) 72 Cal.App.5th 780, 790.) The "dispositive question" is "whether a reasonable fact finder could conclude the published statement declares or implies a provably false assertion of fact." (*Franklin v. Dynamic Details, Inc.* (2004) 116 Cal.App.4th 375, 385.) This is ordinarily a question of law for the court, "unless the statement is susceptible of both an innocent and a libelous meaning, in which case the jury must decide how the statement was understood." (*Ibid.*)

Here, the alleged statements cannot reasonably be understood to imply that Plaintiff and his family are mentally ill or unstable. This is rhetorical hyperbole, language that is so loose, figurative, or hyperbolic that it negates any impression that the writer was seriously maintaining a factual proposition susceptible to being proved true or false. (*Hoang v. Tran* (2021) 60 Cal.App.5th 513, 534; see, e.g., *Ferlauto v. Hamsher* (1999) 74 Cal.App.4th 1394, 1403-1404, 88 Cal.Rptr.2d 843 [book's flip characterizations of opponent's lawyer as " 'Kmart Johnnie Cochran,' " " 'creepazoid attorney,' " and " 'loser wannabe lawyer' " were classic rhetorical hyperbole that could not be interpreted as stating actual facts]; see also *Grenier v. Taylor* (2015) 234 Cal.App.4th 471, 486 ["rhetorical hyperbole, vigorous epithets, lusty and imaginative expressions of contempt and language used in a loose, figurative sense will not support a defamation action"].)

Plaintiff argues that context matters because the defamatory statements were made in the "context of business communications concerning Plaintiff's professional activities and reputation." (Opp. at 8:27-9:1 [ROA 90].) There are no such allegations in the FAC. The demurrer is sustained as to the third cause of action for defamation.

Identity Theft

The first cause of action for identity theft alleges Plaintiff has operated as a real estate broker in California under License No. 00921528 issued to him by the California Department of Real Estate ("DRE") and under which he does business as Centennial Properties. (FAC ¶ 14.) The FAC alleges in or about February

2022, Defendants Lay, Bartels, Genessee used Plaintiff's personal identifying information, without Plaintiff's authority or consent, to obtain credit, goods, services, money, or property. (*Id*. at ¶ 15.) Specifically, Defendants Lay, Bartels, Genessee arranged for a business named "Venture Yours" to be sold on the purported representation that Defendants were authorized to transfer the Plaintiff's DRE license to Chaparro. (*Id*.)

Plaintiff bases his identity theft claim on Civil Code sections 1798.92 and 1798.93. Under these statutes, a "victim of identity theft" may bring an action for damages, civil penalty, and injunctive relief against a "claimant." (Civ. Code, § 1798.93, subds. (a)-(c).) A "victim of identity theft" means "a person who had his … personal identifying information used without authorization by another to obtain credit, goods, services, money, or property, and did not possess the credit, goods, services, money, or property obtained by the identity theft, and filed a police report in this regard." (*Id.* at § 1798.92, subd. (d).) Section 1798.93 grants a private right of action to a "person" to establish that the "person is a victim of identity theft in connection with [a] claimant's claim against that person." Section 1798.92 defines a "claimant" as "a person who has or purports to have a claim for money or an interest in property in connection with a transaction procured through identity theft." Section 1798.93, subdivision (a) provides that an identity theft victim may pursue an action only against a party that has made a "claim against that person."

The FAC does not allege any facts tending to demonstrate Defendant Lay is a claimant within the meaning of section 1798.92, subdivision (a) against whom Plaintiff can bring a section 1798.93 claim. Accordingly, Plaintiff has not pleaded sufficient facts to allege a private right of action for identity theft against Lay. The demurrer is sustained as to the first cause of action for identity theft.

<u>Violation of Penal Code Section 496</u>

California Penal Code section 496, subdivision (a) imposes civil liability, including treble damages, costs, and fees, against "[e]very person who buys or receives property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds or aids in concealing, selling or withholding any property from the owner, knowing the property to be so stolen or obtained[.]" (See also Penal Code § 496, subdivision (c) [providing a private right of action for "any person who has been injured" by a violation of subdivision (a)].) "[T]he elements required to show a violation of section 496[ ] are simply that (i) property was stolen or obtained in a manner constituting theft, (ii) the defendant knew the property was so stolen or obtained, and (iii) the defendant received or had possession of the stolen property. [Citation.]" (*Switzer v. Wood* (2019) 35 Cal.App.5th 116, 126.)

The seventh cause of action for violation of Penal Code section 496 alleges Plaintiff's DRE license was stolen and then transferred by Defendants Lay, Bartels, and Genessee. (FAC ¶ 49.) Defendants received or possessed Plaintiff's stolen DRE license, knew that the DRE license was stolen, and aided one other in transferring the license. (*Id*. at ¶¶ 50-51.) This is sufficient to allege a cause of action for violation of Penal Code section 496.

Moving Defendants assert that the sale or transfer of a professional license does not constitute theft under Penal Code section 496. Here, Plaintiff alleges that his DRE license was stolen and then sold or transferred. These allegations are

		sufficient to state a claim under Penal Code section 496. The demurrer is overruled seventh cause of action for violation of Penal Code section 496. <u>Negligence (Per Se)</u> The sixth cause of action for negligence per se incorporates all previous allegations and further alleges Defendants Lay, Bartels, and Genessee violated one or more statutes, ordinances, or regulations. (FAC ¶¶ 42-43.) The FAC also alleges the violation was the proximate cause of injury to Plaintiff, Plaintiff's injuries were of the type the law was designed to prevent, and Plaintiff is a member of the class of persons the law was adopted to protect. (*Id*. at ¶¶ 44-46.) "The elements of any negligence cause of action are duty, breach of duty, proximate cause, and damages." (*Peredia v. HR Mobile Services, Inc.* (2018) 25 Cal.App.5th 680, 687.) "Under Evidence Code section 669, negligence is presumed where the following elements are met: (1) the defendant violated a statute, (2) the violation proximately caused injury to a person or property, (3) the injury resulted from an occurrence of a type the statute was designed to prevent, and (4) the person suffering injury was one of the class of persons for whose protection the statute was adopted." (*Drury v. Ryan* (2025) 109 Cal.App.5th 1102, 1109.) This is commonly known as negligence per se. As discussed above, Plaintiff sufficiently pled a statutory violation against Defendant Lay, namely, violation of Penal Code section 496. The FAC alleged Plaintiff suffered harm to his reputation and loss of customers and vendors. (FAC ¶¶ 40, 44, 47.) The purpose of Penal Code section 496 is to " eliminat[e] markets for stolen property". (*Bell v. Feibush* (2013) 212 Cal.App.4th 1041, 1047.) Thus, this was the type of harm the statute was designed to prevent, and Plaintiff, as a person who has been injured by the knowing receipt and transfer of stolen property, is in the class of persons the statute was designed to protect. Plaintiff adequately alleged a claim for negligence. The demurrer is overruled as to the sixth cause of action for negligence. <u>Unfair Competition</u> The fourth cause of action for unfair competition incorporates all previous allegations and further alleges Defendants Lay, Bartels, and Genessee threatened "an incipient violation of antitrust law, or violates the policy or spirit of one of those laws because its effects are comparable to or the same as a violation of the law, or otherwise significantly threatens or harms competition by exploiting the duly issued license of an individual and business, in this case, plaintiff Newnes individually and doing business as Centennial Properties, by one not so licensed." (FAC ¶ 33.) Plaintiff alleges that Defendants benefited monetarily from the unfair use and misuse of Plaintiff's DRE license and that Plaintiff is entitled to restitution and injunctive relief. California's unfair competition law ("UCL") is intended to protect business competitors and consumers "by promoting fair competition in commercial markets for goods and services." (*Kasky v. Nike, Inc.* (2002) 27 Cal.4th 939, 949.) By broadly proscribing "any" unlawful business "act" or "practice" (Bus. & Prof. Code, § 17200), "the UCL ' "borrows" ' rules set out in other laws and makes violations of those rules independently actionable." (*Zhang v. Superior Court* (2013) 57 Cal.4th 364, 370.) For that reason, UCL claims are often derivative of other separately pleaded causes of action. "Virtually any law—federal, state or local—can serve as a predicate for an action under [the UCL]." (*Smith v. State Farm Mutual Automobile Ins. Co.* (2001) 93 Cal.App.4th 700, 718.)

Plaintiff argues Defendants' alleged misappropriation of Plaintiff's professional license undermines the regulatory scheme governing real estate transactions in California. (Opp. at 16:6-8 [ROA 90].) By falsely representing they had the authority to use or transfer Plaintiff's license, Defendants subverted the public protection of the DRE licensing system. (*Id*. at 16:9-10.) Allegations to this effect, however, are not present in the FAC. The demurrer is sustained as to the fourth cause of action for unfair competition

<u>Invasion of Privacy</u>

Common law misappropriation is one of the four types of invasion of privacy recognized in California. (*Dora v. Frontline Video, Inc.* (1993) 15 Cal.App.4th 536, 541, 18 Cal.Rptr.2d 790.) An individual's right to publicity is invaded if another appropriates for his advantage the individual's name, image, identity or likeness. (*Fleet v. CBS, Inc.* (1996) 50 Cal.App.4th 1911, 1918.) The elements of the common law cause of action are "(1) the defendant's use of the plaintiff's identity; (2) the appropriation of plaintiff's name or likeness to defendant's advantage, commercially or otherwise; (3) lack of consent; and (4) resulting injury. [Citations.]" (*Id.*)

The second cause of action for invasion of privacy alleges Defendants Lay, Bartels, and Genessee appropriated Plaintiff's name, likeness, and identity including his DRE license, without Plaintiff's consent, to consummate the sale of Venture Yours to Chapparo for substantial monetary or other consideration. (FAC ¶¶ 21-23.)

Defendants contend that the FAC's allegations that Defendants transferred or sold Plaintiff's DRE license number in connection with a business transaction does not constitute misappropriation of likeness, but do not cite any case law in support of this argument. Moreover, Plaintiff alleges Defendants Lay, Bartels, and Genessee appropriated Plaintiff's name, likeness, and identity as well as Plaintiff's DRE license. The FAC's allegations are sufficient to state a cause of action for misappropriation of likeness at this pleading stage. The demurrer is overruled to the second cause of action for invasion of privacy.

<u>Constructive Fraud</u>

The fifth cause of action for constructive fraud alleges Defendants Josh Chandler and Justice Solutions Group, LLC (JSG") owed Plaintiff a duty of confidentiality in dealing with the private and confidential information Plaintiff disclosed to them. (FAC ¶ 37.) Chandler and JSG breached their duty by disclosing the private and confidential information and gained an advantage in money, property, benefits, or other consideration, and Plaintiff was harmed in his reputation and loss of customers and vendors. (*Id*. at ¶¶ 38-40.)

"In California, fraud must be pled specifically; general and conclusory allegations do not suffice. [Citations.] 'Thus " 'the policy of liberal construction of the pleadings ... will not ordinarily be invoked to sustain a pleading defective in any material respect.' " ' " (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.) Every element of actual fraud and constructive fraud must be pleaded specifically. (*Tindell v. Murphy* (2018) 22 Cal.App.5th 1239, 1249–1250; *Moncada v. West Coast Quartz Corp.* (2013) 221 Cal.App.4th 768, 776.) The elements of constructive fraud are: "(1) a fiduciary relationship, (2) nondisclosure, (3) intent to deceive, and (4) reliance and resulting injury." (*Tindell v. Murphy*, *supra*, 22 Cal.App.5th at pp. 1249–1250.)

		The FAC fails to plead any of the elements of constructive fraud with the required specificity. The demurrer is sustained to the fifth cause of action for constructive fraud. Moving Defendants to give notice. --- Defendants Christopher Carr Lay, Josh Chandler, and Justice Solutions Group, LLC ("JSG") move the strike the punitive damages allegations and prayer for relief from the First Amended Complaint ("FAC") filed by Plaintiff Curt Newnes. In light of the court's concurrent ruling on Defendants' demurrer, the motion to strike is DENIED as MOOT as to paragraphs 18, 31, and 41. The motion to strike is GRANTED as to paragraphs 25, 54, and the prayer for relief. Should Plaintiff wish to file an amended complaint that addresses the issues in this ruling, Plaintiffs must file and serve it within 15 days of service of notice of ruling. A motion to strike may seek to strike punitive damages allegations or requests in a complaint lacking factual foundation. (*Turman v. Turning Point of Central Calif., Inc.* (2010) 191 Cal.App.4th 53, 63.) To state a prima facie claim for punitive damages, a plaintiff must "set forth the elements as stated in [Civil Code] section 3294," as well as "specific factual allegations showing that defendant's conduct was oppressive, fraudulent, or malicious." (*Today's IV, Inc. v. Los Angeles County Metropolitan Transportation Authority* (2022) 83 Cal.App.5th 1137, 1193.) "Malice is defined in the statute as conduct intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others." (*Id*. at 725.) Oppression is "despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights." (Civ. Code, § 3294, subd. (c)(2).) Fraud is defined as "an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." (Civ. Code § 3294, subd. (c)(3).) In connection with the second cause of action for invasion of privacy, the FAC alleges Defendants Lay, Bartels, and Genessee appropriated Plaintiff's name, likeness, and identity including his DRE license, without Plaintiff's consent, to consummate the sale of Venture Yours to Chapparo for substantial monetary or other consideration. (FAC ¶¶ 21-23.) The seventh cause of action for violation of Penal Code section 496 alleges Defendants Lay, Bartels, and Genessee assigned, sold, or otherwise transferred Plaintiff's stolen DRE license. (*Id*. at ¶ 49.) The FAC further alleges Defendants "engaged in the alleged conduct with malice, oppression, or fraud in that defendants acted with intent to cause injury, or defendants' conduct was despicable and was done with a willful and knowing disregard of the rights or safety of plaintiff in that defendants were aware of the probable dangerous consequences of their conduct but deliberately failed to avoid those consequences, or defendants' conduct was despicable and subjected plaintiff to cruel and unjust hardship in knowing disregard of his rights in that their conduct was so contemptible that it would be looked down on and despised by

		reasonable people, or defendants intentionally misrepresented or concealed a material fact and did so intending to harm plaintiff." (*Id*. at ¶¶ 25, 54.) The FAC does not contain sufficient allegations of fact which, if proven, would sustain an award of punitive damages. The FAC lacks specific factual allegations showing that Defendants' conduct was malicious, oppressive, or fraudulent. Additionally, California courts have held that a plaintiff cannot recover punitive damages as an additional recovery if a defendant is liable for a statutory penalty or multiple damages under a statute, the award is punitive in nature, and the award penalizes essentially the same conduct as an award of punitive damages. (*Fassberg Construction Co. v. Housing Authority of City of Los Angeles* (2007) 152 Cal.App.4th 720, 759.) "To impose both a statutory penalty or multiple damages award and punitive damages in those circumstances would be duplicative. [Citation.] [Courts] presume that the Legislature did not intend to allow such a double recovery absent a specific indication to the contrary." (*Id.*) The motion to strike paragraph 54 also is granted on this basis. Moving Defendants to give notice.
56	**Fields vs. Fidelity National Title Insurance Company** **24-01418054**	**1. Demurrer to Amended Complaint** **2. Motion to Strike Portions Of Complaint** The Demurrer to the First Complaint brought by Fidelity National Title Insurance Company is SUSTAINED, without leave to amend. The instant action arises from a Title Insurance Policy issued in favor of Leslie C. Fields, as Trustee of the Fields Children's Trust. (¶11 of FAC and Exhibit 5 thereto.) To establish standing to assert claims based on the above, Plaintiff alleges an assignment of the policy benefits was made on March 7, 2026 by the Trustee, Olivia McMullen Fields. (¶23-¶24 of FAC and Exhibit 8 thereto.) Per the attached "Assignment of Insurance Benefits," Olivia McMullen Fields, as Trustee for the Fields Children's Trust transferred to Leslie C. Fields, "all applicable insurance benefits and rights under the above shown insurance policy" which is stated to include "the right to receive payment directly from the insurance company." (¶23 of FAC and Exhibit 8 thereto.) Relying on *Kwok v. Transnation Title Ins. Co.* (2009) 170 Cal.App.4th 1562, Defendant asserts the above referenced assignment is insufficient to establish standing; however, as noted by Plaintiff, *Kwok* does not address the allegations of an assignment. In *Kwok,* a title insurance policy was obtained by an LLC, in connection with the purchase of property. (*Kwok v. Transnation Title Ins. Co.* (2009) 170 Cal.App.4th 1562, 1565.) Similar to this action, the LLC was the only named insured on Schedule A of the policy and the policy defined "insured" to mean "the insured named in Schedule A, and…those who succeed to the interest of the named insured by operation of law as distinguished from purchase…." (*Ibid.;* See also ¶11 of FAC and Exhibit 5 thereto, at ¶1(a) of "Definitions of Terms.") Following purchase and issuance of the policy, the appellants in *Kwok*, who were the only members of the LLC, executed a grant deed which transferred the insured

property from the LLC to themselves, as trustees of their family trust. (*Kwok v. Transnation Title Ins. Co.* (2009) 170 Cal.App.4th 1562, 1565.) Thereafter, the appellants tendered a claim under the policy, which was denied on the basis the appellants did not become "insureds" by operation of law. (*Id.* at p. 1566.) A motion for summary judgment was granted by the trial court, in favor of the insurance company, for this same reason. (*Id.* at p. 1567.)

In affirming the above, the Court of Appeal noted: "Under the terms of the policy, appellants could only become insureds by operation of law. The transfer of property by an insured into a family trust is a voluntary act and not one that arises by operation of law." (*Kwok v. Transnation Title Ins. Co.* (2009) 170 Cal.App.4th 1562, 1571.) The Court of Appeals further explained: "A transfer can occur that does not involve a purchase, but nevertheless does not arise by operation of law. For example, a gift of the property may not involve the exchange of any consideration, but a donee cannot be said to succeed to the property by operation of law. A transfer of property by gift is clearly a voluntary act that does not arise automatically upon death or dissolution." (*Id.* at p. 1572.)

Applying the above herein, the voluntary assignment offered by Plaintiff is not a transfer "by operation of law" and did not transform Plaintiff into an "insured" under the policy; however, a distinction exists between coverage as an "insured" and the assignment of a pre-existing claim.

Pursuant to Civil Code section 1458, "[a] right arising out of an obligation is the property of the person to whom it is due, and may be transferred as such." (Civ. Code, § 1458.) Similarly, "[a] thing in action, arising out of the violation of a right of property, or out of an obligation, may be transferred by the owner." (Civ. Code, § 954.)

Based on the above, "[w]e start from the proposition that assignability is the rule." (*Essex Ins. Co. v. Five Star Dye House, Inc.* (2006) 38 Cal.4th 1252, 1263.)

As explained by the California Supreme Court in *Fluor Corp,* while the substitution of one insured for another typically requires the consent of the insurer, "*it is settled that the right to recover thereon after loss has occurred is assignable without company consent.*" (*Id.* at p. 1190, fn. 10, citing with approval *Greco v. Oregon Mut. Fire Ins. Co.* (1961) 191 Cal.App.2d 674, 682.)

Similarly, "[a]ctions for bad faith against an insurer have generally been held to be assignable." (*Essex Ins. Co. v. Five Star Dye House, Inc.* (2006) 38 Cal.4th 1252, 1263.)

Within the Reply, Defendant suggests title insurance policy claims, unlike claims made pursuant to a third-party liability policy, are *not* assignable (See Reply: 2:22-4:14); however, Defendant cites no authority which supports this position.

At best, Defendant cites *Villanueva v. Fidelity National Title Co.* (2021) 11 Cal.5th 104, for a general explanation as to how title insurance differs from other forms of insurance. (See Reply: 4:1-4, citing *Villanueva v. Fidelity National Title Co.* (2021) 11 Cal.5th 104, 113.)

Additionally, Defendant cites *Dollinger DeAnza Associates v. Chicago Title Ins. Co.* (2011) 199 Cal.App.4th 1132, wherein the Court noted an exception applicable only to liability insurers, with respect to the rule: "[T]he principles of estoppel and implied waiver do not operate to extend the coverage of an insurance

		policy….” (*Id.* at p. 1154.) This authority, similar to *Kwok*, does not address assignment of a claim. Within the Reply, Defendant also asserts that Civil Code section 954 does not apply, arguing the claim herein does not qualify as a “right to recover money or other personal property.” (Reply: 6:5-8.) Again, however, no authority is cited to support this assertion, and the Complaint expressly seeks to recover money pursuant to the Title Insurance Agreement. (See Prayer ¶26 of FAC.) Thus, while Defendant repeatedly asserts the law of assignment differs in the context of title insurance, the argument is unsupported within this demurrer. “Every brief should contain a legal argument with citation to authorities on the points made. If none is furnished on a particular point, the court may treat it as waived, and pass it without consideration.” (*People v. Stanley* (1995) 10 Cal.4th 764, 793.) Based on the above, Defendant failed to challenge the standing allegations included within the First Amended Complaint; however, the above authority nonetheless reveals a significant defect in the pleading: Per the First Amended Complaint, it was Plaintiff Leslie Fields, the individual, who submitted the underlying claim which was purportedly denied. (¶15 of FAC [“Plaintiff Fields, after consultation with Trustee Olivia McMullen Fields, filed a claim for benefits under the policy of title insurance issued by Defendant FNTIC. Plaintiff’s claim was denied by Defendant FNTIC.”]) The submission of the underlying claim appears to have predated the March 2026 assignment; however, regardless, per *Kwok,* Plaintiff was not an “insured” under the policy either pre- or post- assignment and, consequently, a claim made by Plaintiff would have been properly denied. Based on the above, the First Amended Complaint does not allege, either, a breach of contract or bad faith. “The essential elements of a claim of breach of contract, whether express or implied, are the contract, plaintiff’s performance or excuse for nonperformance, defendant’s breach, and the resulting damages to plaintiff.” (*San Mateo Union High School Dist. v. County of San Mateo* (2013) 213 Cal.App.4th 418, 439.) Here, although not explicitly alleged, the First Amended Complaint suggests Defendant’s denial of Plaintiff’s insurance claim breached the agreement; however, as indicated above, Plaintiff the individual was not an insured under its terms. While the insured *may* have been able to assign a completed claim to Plaintiff, assignment would not have transferred to Plaintiff the ability to submit a claim in the first instance. With respect to the second cause of action, “[a] mere breach of contract…is insufficient to determine bad faith.” (*Dua v. Stillwater Ins. Co.* (2023) 91 cal.App.5th 127, 138.) “To prevail at trial, the insured must also show that the insurer withheld that benefit unreasonably or without proper cause.” (*Ibid.*) “Before an insurer can be found to have acted in bad faith for its delay or denial in the payment of policy benefits, it must be shown that the insurer acted *unreasonably* or *without proper cause.* Where there is a *genuine issue* as to the insurer’s liability under the policy for the claim asserted by the insured, there can

be no bad faith liability imposed on the insurer for advancing its side of that dispute." (*Jordan v. Allstate Ins. Co.* (2007) 148 Cal.App.4th 1062, 1072.)

"Thus, allegations which assert such a claim must show that the conduct of the defendant, whether or not it also constitutes a breach of a consensual contract term, demonstrates a failure or refusal to discharge contractual responsibilities, promoted not by an honest mistake, bad judgment or negligence but rather by a conscious and deliberate act, which unfairly frustrates the agreed common purpose and disappoints the reasonable expectations of the other party thereby depriving that party of the benefits of the agreement." (*Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1395.)

Here, the Complaint alleges only that Plaintiff's claim was denied. (¶15 of FAC.)

The Complaint contains no allegations which suggest bad faith or an unreasonable denial and, in fact, as indicated above, the allegations suggest Defendant correctly denied a claim which was submitted by someone who was not an "insured."

In addition to the above, Defendant asserts Plaintiff failed to allege a breach of the underlying Title Insurance Agreement, as the loss of title occurred only after the policy was issued.

"Title insurance is a contract to indemnify against loss through defects in the title or against liens or encumbrances that may affect the title at the time when the policy is issued." (*Liberty National Enterprises, L.P. v. Chicago Title Ins. Co.* (2013) 217 Cal.App.4th 62, 75.) "Changes in the condition of the title after the insurer issues the policy are outside the scope of coverage." (*Ibid.*)

The First Amended Complaint alleges marketable title was lost on August 9, 2022, after the policy was issued, but does *not* specify the facts that caused the loss of marketable title for this decision. (¶14 of FAC.) Title insurance does not insure against future events, it insures against losses resulting from differences between actual title and recorded title as of the date title is insured. (*Quelimane Co. vs Stewart Title Guaranty Co.* (1998) 19 Cal. 4th 26).

Based on all the above, the Demurrer to the First and Second Causes of Action is SUSTAINED without leave to amend.

Lastly, the Court notes that pleading challenges are limited to review of the complaint and judicially noticeable material. (See Code Civ. Proc., §430.30, subd. (a) and Code Civ. Proc., § 437, subd. (a).) The Court cannot consider declarations. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) Thus, the Declaration of Leslie Fields filed on June 23, 2026 (ROA No. 96) was not considered.

The Motion to Strike brought by Fidelity National Title Insurance Company is DENIED.

In seeking to strike the First Amended Complaint, Defendant raises two arguments: (1) Firstly, Defendant asserts Plaintiff exceeded the scope of leave to amend previously granted, by filing contract claims in his individual capacity; and (2) Defendant repeats its assertion that Plaintiff lacks standing, pursuant to *Kwok v. Transnation Title Ins.* (2009) 170 Cal.App.4th 1562.

		For the reasons stated above, *Kwok* does not address the assignment allegations relied on to establish standing and, consequently, this portion of the motion is denied. Additionally, the Court finds that the First Amended Complaint falls within the scope of leave to amend previously granted. (See ROA No. 78 and *Harris v. Wachovia Mortgage, FSB* (2010) 185 Cal.App.4th 1018, 1023.)
57	**Jack Mitchell Construction, Inc. vs. IM Painting, Inc.** **25-01523321**	**1. Demurrer to Complaint** **2. Motion to Strike Complaint** NO TENTATIVE RULING. Parties to Appear on Zoom or in person.
58	**Palacios vs. Blue Link Wireless, LLC** **25-01474388**	**Motion to Compel Arbitration** Tentative Ruling to be updated in the morning.
59	**REYNOLDS REALTY ADVISORS, INC. vs. CAPITAL INSIGHTS** **23-01359175**	**Motion for Attorney Fees** The unopposed Motion for Attorneys' Fees brought by Defendant Capital Insights is GRANTED, in the reasonable amount of $29,383.00. "In any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs." (Civ. Code, §1717, subd. (a).) "The court, upon notice and motion by a party, shall determine who is the party prevailing on the contract for purposes of this section, whether or not the suit proceeds to final judgment." (Civ. Code, §1717, subd. (b)(1).) "[T]he party prevailing on the contract shall be the party who recovered a greater relief in the action on the contract. The court may determine that there is no party prevailing on the contract for purposes of this section." (Civ. Code, § 1717, subd. (b)(1).) This action sought to enforce a Property Management Agreement executed between Reynolds Realty Advisors, Inc. and Capital Insights. (See Exhibit A of Complaint [ROA No. 2].) Included within this agreement was a provision providing for the recovery of attorney fees. (*Id.* at ¶14.) Consistent with the above, Plaintiff requested attorneys' fees in the Complaint. (¶11(g) of Complaint [ROA No. 2].) Nonetheless, there has been no showing Defendant is the prevailing party entitled to attorney fees, pursuant to the Property Management Agreement as: (1) It is undisputed Defendant Capital Insight settled Plaintiff's claim based on the

		Property Management Agreement, for $20,000 (¶7 of Saccuzzo Declaration); and (2) Defendant has not demonstrated compliance with the mediation requirement, included within ¶12A of the Agreement. Per ¶12A, to obtain attorneys' fees pursuant to the agreement, Defendant must not have refused a request to mediate, made before commencement of the action. (Exhibit A to the Complaint, at ¶12A [ROA No. 2].) Indeed, had Plaintiff dismissed its claims under the Property Management Agreement, based on the settlement, the lack of a prevailing party would be clear: "Where an action has been voluntarily dismissed or dismissed pursuant to a settlement of the case, there shall be no prevailing party for purposes of this section." (Civ. Code, § 1717, subd. (b)(2).) Based on the above, with respect to the Property Management Agreement, the Court finds "there is no party prevailing on the contract for purposes of this section." (Civ. Code, § 1717, subd. (b)(1).) Relying on *Santisas v. Goodin* (1998) 17 Cal.4th 599 (*Santisas*), Defendant asserts entitlement to fees pursuant to the Property Management Agreement, given Plaintiff requested attorney fees within its Complaint and judgment was nonetheless entered against it. Per *Santisas,* successfully arguing unenforceability of a contract does *not* deprive the prevailing party of any attorneys' fees provision included therein (*Id.* at p. 611); however, *Santisas* does not address a situation where, as here, the underlying contract claim is settled. As Defendant settled the underlying contract claim and provided Plaintiff with a monetary recovery based thereon, this action is distinguishable from *Santisas.* Nonetheless, the Court finds that Defendant is the prevailing party, pursuant to the subsequently entered Settlement and Release Agreement. The Settlement and Release Agreement states: "In the event any Party prevails in an action, motion, application, and/or petition to enforce or challenge any of the terms of this Agreement, to preserve its, his or her rights under this Agreement, or in the event of breach by any Party of obligations under this Agreement, the prevailing Party shall be entitled to all costs and expenses incurred in enforcing the terms of this Agreement, including, without limitation, reasonable attorneys' fees, expert fees, and other expenses." (¶7 of Saccuzo Declaration and Exhibit 1 of the Appendix of Exhibits.) On June 27, 2025, the Court granted summary judgment in favor of Defendant, as the undisputed evidence demonstrated the parties entered into the Settlement and Release Agreement, wherein Plaintiff agreed to release its claim and dismiss this action. (ROA No. 87.) As noted above, per Civil Code section 1717, "the party prevailing on the contract shall be the party who recovered a greater relief in the action on the contract." (Civ. Code, § 1717, subd. (b)(1).) "California courts construe the term 'on a contract' liberally. As long as the action involve[s] a contract it is on [the] contract within the meaning of section 1717." (*Brown Bark III, L.P. v. Haver* (2013) 219 Cal.App.4th 809, 821 [internal quotations omitted].) Based on the above, given Defendant succeeded in enforcing the Settlement and Release Agreement via its successful Motion for Summary Judgment, Defendant is the prevailing party thereunder.

"[T]he fee setting inquiry in California ordinarily begins with the 'lodestar,' i.e., the number of hours reasonably expended multiplied by the reasonable hourly rate." (*PLCM Group v. Drexler* (2000) 22 Cal.4th 1084, 1095.) "California courts have consistently held that a computation of time spent on a case and the reasonable value of that time is fundamental to a determination of an appropriate attorneys' fee award. (*Ibid.*) "The reasonable hourly rate is that prevailing in the community for similar work." (*Ibid.*)

The Court approves the hourly rates of $765 and $515, for attorneys R. Joseph Kerendian and Jason P. Saccuzzo, respectively. The Court finds these rates to be reasonable, given the substantial legal experience of Counsel. (See ¶6 of Kerendian Declaration and ¶22 of Saccuzzo Declaration.)

In reviewing the hours claimed, the Court notes the validity of the Settlement and the Release Agreement appears to have been the bulk of Defendant's defense in this action.

A review of the relevant Settlement and Release Agreement indicates its execution was completed on May 17, 2024. (¶7 of Saccuzo Declaration and Exhibit 1 of the Appendix of Exhibits.) On this same day, Defendant filed an Answer, which referenced the Settlement and Release Agreement within its Twentieth Affirmative Defense. (ROA No. 18.) Similarly on this same day, Defendant filed a Cross-Complaint, which asserted breach of the Settlement and Release Agreement. (ROA No. 19.)

Based on the above, essentially *all* of Defendant's conduct in this action occurred following the execution of the Settlement and Release Agreement and involved litigating the validity of the same.

This is evidenced further, by the declaration of Counsel Saccuzzo who states: "After Reynolds refused to dismiss the Instant Action as required under the Agreement, Capital Insight was forced to defend itself by preparing and filing an Answer to the Complaint and by undertaking efforts to enforce the Agreement. Capital Insight also propounded written discovery to determine the basis, if any, for Reynolds' refusal to honor its contractual obligation to dismiss its claims with prejudice." (¶18 of Saccuzzo Declaration.)

Given the above timing, only minimal apportionment was necessary. In total, the Court found that 2.0 hours claimed by Mr. Kerendian and 3.1 hours claimed by Mr. Saccuzzo, were attributable to the Property Management Agreement. (See ¶4 of Kerendian Declaration and ¶21 of Saccuzzo Declaration.)

Substantial additional reductions are made, however, given the expected efficiency of attorneys with comparable experience.

With respect to Mr. Kerendian, the Court approves 10 hours of labor, which reflects a reasonable amount of time reviewing the Settlement Agreement, written discovery responses and the Motion for Summary Judgment. (See ¶4 of Kerendian Declaration.)

With respect to Mr. Saccuzzo, following a thorough review of the Motion for Summary Judgment, the Court approves 34.2 pre-Judgment hours incurred by this attorney. This includes time reviewing the Settlement and Release Agreement, preparing the Answer and written discovery, corresponding regarding the Settlement Agreement, the Motion for Summary Judgment, and preparing the Notice of Ruling and Proposed Judgment. (¶21 of Saccuzzo Declaration.)

		Finally, as noted by Defendant "it is well established that [prevailing parties] and their attorneys may recover attorney fees for fee-related matters." (*Graham v. DaimlerChrysler Corp.* (2004) 34 Cal.4th 553, 580.) Given the instant motion is unopposed, and given the relative simplicity of this motion, the Court approves an additional 8 hours by Mr. Saccuzzo. Based on the above, the reasonable amount of attorneys' fees incurred herein, in litigating the validity of the Settlement and Release Agreement is $29,383.00.